

However, unlike physicians and attorneys who are required to have years of education before seeing patients and clients, investment consultants hired by a large brokerage house can start managing clients' money within a few months of deciding to get into the industry, and they can earn significant income in a couple of years if they are good salespeople.

The requirements for becoming a registered representative at a brokerage firm or an independent fee-only advisor are surprisingly low. You don't need a degree in finance or have any college. All you need to do is be able to read and write English, be felony free, and pass a simple exam. It takes about as much time and effort to become registered as a broker or advisor as it does for a 16-year-old to get a driver's license, with one exception—the 16-year-old must show competence when driving before getting to the license. Since the barrier of entry into the investment field is so low, it should not be surprising when the *Wall Street Journal* publishes a long list of brokers and advisors each week who have been disciplined by the regulatory authorities for gross negligence, misappropriation of client funds, and outright fraud.

I do not want to be too critical of the brokers and advisors in the investment industry because there are many outstanding people out there. The problem you have is separating the good from the bad. There is no easy shortcut to doing this. Even those with the best credentials have fallen. And it takes only one bad decision by an investment advisor to wipe out your entire life's savings. Bernie Madoff's former clients know that too well.

THE ASSETS IN ASSET ALLOCATION

At its core, asset allocation is about dividing your wealth into different places to reduce the risk of a large loss. One hundred years ago, that may have meant your burying some cash in Mason jars around the barn in addition to hiding money in your mattress and the cookie jar. If your house went up in flames, at least the buried Mason jar money would survive.

I am not advocating putting money in a mattress or in Mason jars as an asset allocation strategy. This book focuses on placing money in publicly available investments such as mutual funds and exchange-traded funds (ETFs), and how that fits in with other assets such as your home, other real estate, businesses, hard assets such as coins and art, restricted corporate